

can take your 401(k) and either transfer the funds from your old employer's program to your new employer's program, or into a personal retirement account (discussed in the next section).

Now that you have an idea of the many advantages of 401(k) accounts, let's look at a few of the small drawbacks:

There are early withdrawal fees. Because these accounts are designed to fund retirement, there are generally penalties for taking the money out before you are fifty-nine and a half years old (which is considered retirement age). You will typically pay a fee of 10% for an early withdrawal, so do whatever you can to avoid this. If you've been investing in your 401(k) for a long time, 10% could easily be \$50,000 or more! There are, however, certain circumstances that will allow you to take the money out before retirement without a penalty: buying your first home, education-related expenses, extreme hardship, or funeral expenses, for example.

There are contribution limits. Because the 401(k) is such an incredible deal, there are limits to how much you can contribute. As of 2020, you can contribute up to \$19,500 per year⁵¹—but this contribution does not count your employer match. If your employer has a ridiculously generous plan and matches 100% of your contributions, you could potentially contribute \$39,000 per year to your 401(k) (\$19,500 from you and \$19,500 from your employer). If you were able to do this, you would have many millions of dollars saved by the time you reached retirement.

Your investment options are more limited. When you enroll in your employer's 401(k) program, you do not get to choose any

51 "401(k) Contribution Limit Increases to \$19,500 for 2020; Catch-up Limit Rises to \$6,500," news release no. IR-2019-179, Internal Revenue Service, November 6, 2019, <https://www.irs.gov/newsroom/401k-contribution-limit-increases-to-19500-for-2020-catch-up-limit-rises-to-6500>.